

ZIMSEC A'LEVEL ACCOUNTING 2026 SPECIMEN PAPER 02 SOLUTIONS BY MR SPOTTER

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1a. A master budget is a summary of individual budgets that consists of a budgeted income statement and statement of financial position.

b. Cash Budget for the three months ending 30 November 2026.

RECEIPTS	September \$	October \$	November \$
Cash Sales	51 300	74 100	57 000
Receipts from debtors—month 1	89 600	100 800	145 600
month 2	16 800	22 400	25 200
Issue of ordinary shares		24 000	
Sale of motor vehicles	—	—	18 000
Loan from FM Bank	<u>15 000</u>	<u> </u>	<u> </u>
Total receipts(a)	<u>172 700</u>	<u>221 300</u>	<u>245 800</u>
PAYMENTS			
Cash purchases	78 000	60 000	72 000
Payments to creditors	36 000	52 000	40 000
Sundry expenses	45 000	45 000	45 000
Redemption of preference shares		55 000	
Purchase of equipment	<u> </u>	<u> </u>	<u>100 000</u>
Total payments(b)	<u>159 000</u>	<u>212 000</u>	<u>257 000</u>
Net receipts/payments(a – b)	13 700	9 300	(11 200)
<i>add</i> balance b/d	<u>(6 000)</u>	<u>7 700</u>	<u>17 000</u>
Balance c/d	<u><u>7 700</u></u>	<u><u>17 000</u></u>	<u><u>5 800</u></u>

Workings

	July \$	Aug \$	Sept \$	Oct \$	Nov \$	Dec \$
Sales	120 000	160 000	180 000	260 000	200 000	240 000
Cash Sales(30% of Sales - 5% cash discount)			51 300	74 100	57 000	
Credit Sales(70% of Sales)	84 000	112 000	126 000	182 000	140 000	168 000
Receipts from debtors-month 1		67 200	89 600	100 800	145 600	
month 2			16 800	22 400	25 200	
Cost of production(50% of Sales)	80 000	90 000	130 000	100 000	120 000	
Cash purchases(60% of cost)			78 000	60 000	72 000	
Creditors(40% of cost)	32 000	36 000	52 000	40 000	48 000	
Payment to creditors			36 000	52 000	40 000	

2a.

Realisation A/c

	\$		\$
Motor vehicle	85 000	Bank:Motor vehicle	52 000
Inventory	31 000	Inventory	28 000
Freehold Property	130 000	Freehold P	143 000
Fixtures and Fittings	60 000	Fixtures & F	55 000
Discount allowed	1 350	Capital-Sarah(Vehicle)	12 000
Bank:Dissolution cost	4 000	-Beauty(Vehicle)	15 000
		Discount received	2 600
		Capital-Sarah($\frac{2}{3}$)	2 500
		-Beauty($\frac{1}{3}$)	1 250
	<u>311 350</u>		<u>311 350</u>

b.

Capital A/c

<u>2024</u>	Sarah \$	Beauty \$	<u>2024</u>	Sarah \$	Beauty \$
Loss on realisation	2 500	1 250	Jan 1 Bal b/d	145 000	81 000
Current a/c	–	6 000	Current a/c	24 000	–
Motor vehicle	12 000	15 000			
Bank	<u>154 500</u>	<u>58 750</u>			
	<u>169 000</u>	<u>81 000</u>		<u>169 000</u>	<u>81 000</u>

c.

Bank A/c

<u>2024</u>	\$	<u>2024</u>	\$
Motor vehicle	52 000	Bal b/d	13 000
Inventory	28 000	Capital-Sarah	154 500
Freehold property	143 000	-Beauty	58 750
Fixtures and Fittings	55 000	Trade payables	23 400
Trade receivables	<u>25 650</u>	Dissolution cost	4 000
	<u>303 650</u>	Loan	<u>50 000</u>
			<u>303 650</u>

3a. Statement of cash flows for the year ended 30 June 2025.

<u>Operating Activities</u>	\$	\$
Operating profit		197 500
<u>Adjustment for non-cash items</u>		
Profit on disposal of delivery van	(1 500)	
Depreciation charge – Plant & machinery	28 000	
– Delivery van	<u>121 300</u>	
	147 800	
<u>Changes in working capital</u>		
Increase in inventory	(40 000)	
Decrease in trade receivables	15 500	
Decrease in trade payables	<u>(23 200)</u>	
	100 100	
<u>Less</u> tax paid	<u>(57 400)</u>	<u>42 700</u>
Net cash inflow from operating activities		240 200
<u>Investing Activities</u>		
Proceeds from sale of delivery van	4 200	
Purchase of non-current assets-Delivery Van	(120 000)	
–Plant	(89 000)	
Investment sold	<u>26 000</u>	
Net cash outflow from investing activities		(178 800)
<u>Financing Activities</u>		
Issue of ordinary shares($140\,000 \times \$1,10$)	154 000	
Dividend paid($8\% \times \$180\,000$)	(14 400)	
Redemption of preference shares	<u>(126 000)</u>	
Net cash inflow from financing activities		<u>13 600</u>
Increase in bank balance		75 000
<u>add</u> bank balance at 30 june 2024		<u>(11 000)</u>
Bank balance at 30 June 2025		<u>64 000</u>

Workings

W1

Provision for depn A/c -Plant & Machinery

	\$		\$
Bal c/d	95 000	Bal b/d	67 000
	<u>95 000</u>	Inc stat(bal fig)	<u>28 000</u>
			<u>95 000</u>

W2

Provision for depn A/c -Delivery Van

	\$		\$
Disposal	97 300	Bal b/d	16 000
Bal c/d	<u>40 000</u>	Inc stat(bal fig)	<u>121 300</u>
	<u>137 300</u>		<u>137 300</u>

W3

Taxation A/c

	\$		\$
Tax paid	57 400	Bal b/d	57 400
Bal c/d	<u>41 000</u>	Inc stat	<u>41 000</u>
	<u>98 400</u>		<u>98 400</u>

W4

Plant & Machinery A/c

	\$		\$
Bal b/d	238 000	Bal c/d	327 000
Addition	<u>89 000</u>		<u> </u>
	<u>327 000</u>		<u>327 000</u>

W5

Delivery Van A/c

	\$		\$
Bal b/d	90 000	Disposal	100 000
Addition	<u>120 000</u>	Bal c/d	<u>110 000</u>
	<u>210 000</u>		<u>210 000</u>

b. Distinguish between the statement of cash flows and the statement of profit and loss.

Cash flow statement	Statement of profit and loss
-Prepared based on cash basis. -It records capital expenditure. -Provides information about liquidity and solvency of a business.	-prepared based on accrual basis. -Capital expenditures are not recorded. -Provides information about profitability of a business.

4ai.Manufacturing account for the year ended 31 December 2024.

	\$	\$
Opening inventory of raw materials		12 500
<u>add</u> Purchases of raw materials	105 000	
<u>add</u> carriage inwards on raw materials	<u>8 000</u>	
		<u>113 000</u>
		125 500
<u>less</u> closing inventory of raw materials		<u>(17 500)</u>
Raw materials consumed		108 000
<u>add</u> direct expenses(90 000 + 5 000)		95 000
<u>add</u> direct labour		<u>125 000</u>
Prime cost		328 000
<u>Factory Overheads</u>		
Rent (75% × 25 000)	18 750	
Insurance % × (23 000 - 3 000)	12 000	
Depn-Machinery	12 800	
Loose tools(12 000+26 000–15 000)	<u>23 000</u>	
		<u>66 550</u>
		394 550
<u>add</u> opening work in progress		<u>16 000</u>
		410 550
<u>less</u> closing work in progress		<u>(11 500)</u>
		399 050
<u>add</u> manufacturing profit		<u>39 905</u>
Transfer to trading a/c		<u>438 955</u>

ii.Statement of profit or loss for the year ended 31 December 2024.

	\$	\$
Revenue		600 000
<u>Less cost of sales</u>		
Opening inventory of finished goods	24 200	
<u>add</u> transfer from fractory	<u>438 955</u>	
	463 155	
<u>less</u> closing inventory of finished goods	<u>(22 000)</u>	
		<u>(441 155)</u>
Gross Profit		158 845
<u>Less Operating expenses</u>		
Rent - 25% × (25 000)	6 250	
Insurance % × 20 000	8 000	
Advertising	18 000	
Carriage outwards	7 500	
Depn-Office equipment	<u>5 200</u>	
		<u>44 950</u>
Operating profit		113 895
<u>add</u> manufacturing profit		<u>39 905</u>
		153 800
<u>add</u> decrease in prov for unrealised profit		<u>200</u>
Net profit c/d		<u>154 000</u>

b. The prudence concept ensures that assets or income are not overstated and liabilities or expenses are not understated.

Or It states that profits should not be overstated or understated.

THE END

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